

baseless, unfounded and are made with a very poor understanding of airline economics. The real reason why airlines cannot deploy their full capacity is technical,” says Arun Kumar Singh, CEO of Ahmedabad-headquartered regional carrier IndiaOne Air. Singh is quick to point out that the cumulative fleet size for all civilian airlines in April 2023 was 722 aircraft; of which 116 were grounded. Due to the grounding of Go First in May, that number has increased to 142. “This is a temporary problem and the situation can be expected to change for the better within a few months,” he adds.

Further, Indian full-service carriers and LCCs made consolidated cumulative losses of ₹98,252 crore between FY13 and FY23, with FY16 being the only year when the industry posted a profit of ₹223 crore, according to data compiled by BT. However, Jitender Bhargava, former executive director of Air India, is quick to dismiss this line of argument. “You cannot have a situation that just because you have sustained losses in the past you get an inherent right to charge extraordinarily high fares. Take for instance automobiles; have their prices gone up disproportionately just because fewer vehicles were sold during the pandemic?” Rather, he suggests that cost inputs such as high central and state government taxes on aviation turbine fuel be rationalised to give airlines relief.

DYNAMIC SURGE

Indian aviation has come a long way from the time when fares were regulated, to the present era of dynamic pricing. Normally, an air ticket takes into account the base fare or the cost of commuting from point A to B, taxes (GST) and airport fee (User Development Fee), fuel surcharge, a service or convenience fee to issue the ticket, meals and seat selection in case of LCCs and surcharge for excess baggage.

In dynamic pricing, prices of products and services are constantly adjusted to reflect fluctuations in supply and demand. This helps companies stay competitive by aligning prices based on factors like competi-

tor pricing, demand-supply and external factors such as holidays, festivals, events and currency fluctuations. Moreover, certain high-demand destinations such as Srinagar, Leh, etc., that are inhibited by terrain, weather and operating hours allowed by the Ministry of Defence, command higher fares owing to operational constraints and capacity restrictions.

Globally, airlines adhere to guidelines—laid down by the International Air Transport Association (IATA) to operationalise dynamic pricing—that contain norms for various booking classes referred to as Reservation Booking Designator (RBD) or simply, fare buckets that may go

up to 26 classes, with lower fares in the buckets available for bookings done 90, 60, 30, 15 and 7 days before flight departure. Fares booked closer to the journey or on an immediate purchase basis move to higher buckets. The ₹50,000 Delhi-Dehradun one-way fare booked by Jain belonged to this category.

And while domestic airfares gyrate wildly, international fares have remained largely stable due to competitive pricing and lower operational costs. Further, in response to the furore over airlines charging higher fares for travel out of Imphal after clashes in Manipur and out of Bhubaneswar in the im-

mediate aftermath of the Balasore train crash in Odisha, Union Minister of Civil Aviation Jyotiraditya Scindia convened a meeting of airlines on June 5 in New Delhi. Other than asking them to self-monitor surging fares, Scindia said at a media briefing that the government is closely watching the situation to prevent predatory pricing. He said the sector in India, as in the rest of the world, is a seasonal one with demand increasing from October to January, only to cool down till April before it revives again with the onset of school holidays in May. However, demand has been increasing due to a combination of factors this year. “One, we are operating in a high season. Secondly, Go First, which used to operate on 315 routes, is no longer operating those routes. Therefore, we have had a capacity squeeze in airline seats,” said Scindia.

Because of this, demand has skyrocketed and average seat load factor has reached an all-time high, leading to an unparalleled surge in ticket prices. “Generally in In-

**IN MAY, 13.21
MILLION
PASSENGERS
TRAVELLED BY
AIR AS AGAINST
12.89 MILLION IN
THE PREVIOUS
MONTH, PER
DGCA DATA**